

PORT OPERATIONS

Port Management

The retreat of government in seaports: towards a renewed port management style?

Ports, which have traditionally been run like government departments, are becoming a normal industry thanks to the infusion of private money that promises greater competition, higher productivity and eventually lower costs that will be passed on to importers and exporters. In this new and volatile environment, the public sector is forced to reassess its role in the port industry.

The retreat of government flourishes in the belief that an enterprise-based economy would allow for greater flexibility and efficiency in the market and a more effective response to consumers' demands. Many so-called port privatisation schemes are in fact some form of commercialisation or corporatisation of a port authority

Corporatisation basically amounts to a shift from public sector organisations to autonomous companies which are owned by the public sector but have accounting procedures and legal requirements similar to the private sector, subject to very limited direct government control. In the case of commercialisation the government retains control and ownership of the port organisation, but within a business-like environment involving some management autonomy and accountability. The private sector undertakes many commercial activities through performance agreements, management contracts, service contracts, lease systems and/or concession agreements with the public port organisation. Mainland Europe has followed the path of public sector retreat via corporatisation and commercialisation, as most governments have loosened their grip on ports. Port authorities still have robust ties with their respective municipalities through ownership structure, but decisions are made on a more independent basis and port managers are accountable for these decisions. The final aim is the creation of an independent port management system with a sound commercial strategy - including the possibility to diversify into other ports or activities via financial participation - and full accountability for the results of administrative and operational activities.

This text is based on the article published in *De Lloyd/Le Lloyd* entitled “*The retreat of government in seaports: towards a renewed port management style?*” by Dr. Theo Notteboom: Associate Professor, ITMMA, University of Antwerp

Port Management

Giving a presentation: The retreat of government in seaports: towards a renewed port management style?

Ok, ladies and gentlemen, just before we set off on our tour of the Port I just wanted to take a couple of minutes to say a few words about the style of port management today. Now, how many of you have hands-on experience of port management? Ok, that's quite a number of you then. So you'll be able to relate to what I'm saying.

So, to begin, let's look more closely at ports. Well, traditionally these have been run like government departments, but now they're becoming a normal industry thanks to the infusion of private money. This brings a) greater competition, b) higher productivity and

c) eventually lower costs that will be passed on to importers and exporters. And what's the result? Yes, a public sector that has been forced to reassess its role in the port industry.

As you are aware, governments have retreated from port management in the firm belief that an enterprise-based economy allows for greater flexibility and efficiency in the market and a more effective response to consumers' demands. Many so-called port privatisation schemes are in fact some form of commercialisation or corporatisation of a port authority

Right, now, let's turn to corporatisation itself: I hear you saying, what exactly is corporatisation? Well, corporatisation basically amounts to a shift from public sector organisations to autonomous companies. These are owned by the public sector but have accounting procedures and legal requirements similar to the private sector. In the case of commercialisation the government retains control and ownership of the port organisation, but within a business-like environment involving some management autonomy and accountability. OK, are you with me so far?

Let's move on, then, to the private sector: This sector undertakes many commercial activities through performance agreements, management contracts, service contracts, lease systems and/or concession agreements with the public port organisation. Mainland Europe has followed the path of public sector retreat via corporatisation and commercialisation, as most governments have loosened their grip on ports. We shouldn't forget, however, that port authorities still have robust ties with their respective municipalities through ownership structure.

I'd just like to finish by saying that the final aim is the creation of an independent port management system with a sound commercial strategy. I hope we can show you some of that strategy today. Thank you and enjoy the rest of your visit to the Port of Antwerp.

Port of Antwerp sees cargo volume grow once more by nearly 6 per cent

Strong third quarter for container cargo

Antwerp, 24 October 2005

In the first nine months of 2005 the port of Antwerp handled nearly 120 million tonnes of cargo, an increase of 5.7 per cent compared with the same period last year, with imports and exports up by the same amount.

The container volume between January and September amounted to 55.8 million tonnes, up 8.6 per cent on the previous year. In terms of twenty-foot equivalent units (TEU) this represents an increase of 5.8 per cent, to 4.8 million TEU.

Antwerp's container trade did particularly well in the last three months. In the third quarter the volume of containers handled was up on the same period in 2004 by 11 per cent in TEU and 14 per cent in tonnes. The Deurganck dock promises further growth in the port's container activities. The "OOCL New York" was the first ship to be handled in the Deurganck dock since the official inauguration of the Antwerp Gateway Terminal.

Ro/ro cargo for its part contracted slightly during the past nine months, by 4 per cent. 589,413 cars, trucks and trailers have been shipped through the port of Antwerp so far this year. Imports remain stable, and the decline in exports has been reduced during the past quarter from 20 to 15 per cent. The drop in exports is due to the stricter import rules in West Africa and the closure of the Iraq market.

Conventional general cargo expanded by 3 per cent in the first three quarters of this year, reaching 13.6 million tonnes. Imports in particular have risen significantly as a result of the strong increase in steel products (up 23 per cent). India, Russia and Iran are exporting enormous amounts of steel to Europe, since the EU is struggling with high steel prices. This trend, which made itself apparent last year, is now levelling off. Meanwhile, the volumes of fruit and forest products remain stable.

The volume of bulk freight handled in Antwerp stood at 47.8 million tonnes at the end of the third quarter, an increase of nearly 4 per cent. Both imports and exports were



Education and Culture

Leonardo da Vinci

up during the past nine months. There were particularly strong increases in the volume of chemicals (up 11 per cent) and oil derivatives (up 14 per cent). This good result is a consequence of higher output by various companies in the Antwerp region. Furthermore, the port of Antwerp is gaining in significance as a distribution centre for chemicals and derivatives.

From January to September a total of 11,407 seagoing vessels called at the port of Antwerp. This represents a further slight decrease of 1.7 per cent in comparison with the first nine months of last year. On the other hand, the gross register tonnage continues to trend upwards, with growth of more than 3.7 per cent.

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Port organisation in the Port of Antwerp



The Antwerp Port Authority owns the docks and the sites used by port operators and industrial companies on the Right Bank of the Scheldt. It is, moreover, the owner of part of the port equipment. The Port Authority likewise manages the Left Bank port, which ensures the application of uniform policies on both sides of the river. However, land use and industrial development policy on the Left Bank is in the hands of a separate public sector corporation for land use and industrialisation.

The private port companies make the necessary investments in superstructure and handling equipment on the bare facilities they lease from the Port Authority. Private enterprise is also responsible for all logistic and transport services to the port users.

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The Port of Antwerp, public sector partnership

Part 1

All kinds of public services are involved in the activities of the port. The Antwerp Port Authority, with a workforce of 1,900, owns and manages docks, berths, locks, etc. It is responsible for planning, expanding, modernising and maintaining the infrastructure of the port, and also operates its own equipment, including warehouses, floating cranes, shore cranes, tugs and dredgers.

Part 2

The Authority also leases sites and land and is responsible for the distribution of electricity in the port. Furthermore various national and regional authorities play an important part in ensuring the safety of shipping and satisfactory port operations. The Ministry of the Flemish Community is, for example, responsible for maintaining the navigation channel in the Scheldt, and also for the pilotage service. The government is also responsible for issuing tonnage certificates and certificates of seaworthiness.

Other public services include the various Police Services, the Health Inspectorate and the Customs Service. All the railways in the port are the property of the NMBS-SNCB (Belgian Railways). Roughly 1,800 people are employed in operating them.

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The Port of Antwerp, private sector partnership

The organisation of the private sector in Antwerp is dependent on the activities of a number of professional associations. These organisations act as industry spokesmen with regard to the various authorities and with other industries.

The Antwerp Shipping Federation (ASV) represents the agents and shipowners' offices who watch over the interests of the 300 or so shipowners whose ships make regular use of the port. Its 100-odd members include shipbrokers and operators. The Belgian and Luxembourg merchant fleet is only small, but is one of the most specialised in the world. Consequently the *Belgian Shipowners' Association (BRV)* represents shipowners who are involved in the carriage of gas, bulk cargoes and oil.

A second large group is made up of the 210 forwarders and industrial shipping agents in Antwerp. Their interests are represented by the *Antwerp Freight Forwarding, Logistics and Works' Agents Association (VEA)*. Antwerp's cargo handlers are represented by ABAS (*Professional Association of Antwerp Master Stevedores and Port Operators*) and the KVBG (*Royal Association of Traffic Flow Controllers*).

ABAS has about thirty members. The majority are stevedores, although both warehousing specialists and companies performing related activities such as lashing and securing also belong to the association. The sixty members of the KVBG take care of the handling, warehousing and distribution of goods. These firms were originally warehouse operators (Antwerp's "naties") which have now developed into suppliers of logistic services. These professional associations have established a number of umbrella organisations that serve as forums for consultation and cooperation.

- ALFAPORT ANTWERPEN acts as the representative of business in the port and promotes the interests of port users in many different areas.
- CEPA or the *Port of Antwerp Employers' Association* and the *Employers' Association of Trade and Shipping Offices* are both involved in the social sector.
- INPRO, the *Dangerous Products Information Centre* is a helpdesk for firms seeking information about dangerous goods.

Firms in other areas of the transport industry have their own professional associations. These include associations for Belgian inland navigation companies,

Rhine shipping agents, and road hauliers. In this way all parties can be drawn into the consultation process.

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A multipurpose port

The Port of Antwerp handles more than 150 million tonnes of cargo per year (55% incoming and 45% outgoing traffic). This volume makes Antwerp the second largest port in Europe and the fourth largest in the world.

A little under half of Antwerp's goods traffic consists of bulk such as coal, ores, fertilisers, grains and so on. Antwerp also handles large quantities of breakbulk. The various port operators have invested heavily in specialised handling installations for trades such as iron and steel, fruit, forest products, cars, dangerous goods and sugar. It thus comes as no surprise that Antwerp is a market leader in many of these trades.

Antwerp has responded positively to the unitised load phenomenon. Nowadays 76% of all general cargo is packed in containers. Antwerp's container terminals pride themselves on their productivity and low costs, outdoing many of their European competitors. Not surprisingly, Antwerp offers the best quality to price ratio of all North Sea ports.

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Isolation and Communication

The Port of Antwerp has a large ecumenical team which is responsible for the welfare of all seafarers. So far this year, Port Chaplain John Attenborough has been busy visiting the ships that have come into the Port of Antwerp. He has concentrated his efforts on the Left Bank as this area is rather far away from most amenities, which are located on the Right Bank of the river Scheldt.

Stephanie Hughes spoke to him. “John, please tell me something about your work on the Left Bank.”

JA “Well Stephanie, during the weekends the whole area is like a ghost town, no lorries, no cars, not much of anything. Isolation is one of the biggest challenges that seafarers face in the modern shipping world. The seafarers are very lucky if they can even manage to find a telephone in order to call their loved ones back home. This is something that many people fail to understand in this modern world of mobile phones. Seafarers have a harder time than most of the population, because the roaming service on a mobile is extortionately expensive. One seafarer told me that being on a ship on the Left Bank was like being in a desert. He went on to say, “All you need is some sand and the picture would be complete!” He did not want me to take his photo, because he was not in a happy mood. ”



SH “Can you tell me something about the challenges you face when visiting the ships?”

JA “Though ships are getting bigger and faster, crewing levels are decreasing. With new security regulations, seafarers find it more difficult to leave the ship and chaplains and welfare workers find it more difficult to gain access to the ships and to

the seafarers on board. On one occasion, I encountered a security guard who refused me access to one ship on the grounds that the cargo was of a sensitive nature. I said that I had nothing to do with the cargo, all I wanted to do was to go and talk to the crew. After some time, the security guard finally agreed to let me on board. The crew were so grateful for my visit. It seems obvious that the nature of the cargo should not get in the way of welfare of the crew, but more often than not it seems the cargo is valued more highly than the welfare of the seafarers.”

SH “But is there any good news on the horizon?”

JA “There certainly is. For the new Deurganck Dock, officially opened on June 6th 2006, there is provision in the agreement by the companies running the new dock, HN-PSA and P&O Ports, to provide welfare facilities to the seafarers that come in on the ships which berth in the dock. “

SH “So it is just a case of waiting and seeing.”

JA “Yes, It will be interesting to see how the new facilities make a difference to the lives of the seafarers visiting Antwerp. I was recently invited to a meeting with one of the companies running the new dock and am pleased to report that the needs of the seafarers have been taken into consideration. The companies have agreed to provide telephones, computers, a TV, a comfortable seating area and some shelving on which we can put newspapers and magazines for the seafarers to take. The ships using the new dock will only be container vessels, so the time in port will be a matter of hours. It is really exciting to see that, at last, seafarers will have somewhere relatively accessible where they feel welcome.”

SH “Thank you for your time and for the useful insights into the developments in the Port of Antwerp.”

JA “You’re welcome.”

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